NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- II)

C.A.(CAA)-44/ND/2021

IN THE MATTER OF SCHEME OF AMALGAMATION :

BETWEEN

JUNIPER GREEN INDIA PRIVATE LIMITED
... Applicant No.1/Transferor Company

AND

JUNIPER GREEN ENERGY PRIVATE LIMITED
...Applicant No.2/ Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 12.08.2021

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For Applicants : Dr. U.K. Chaudhary, Senior Advocate alongwith
Ms. Manisha Chaudhary, Advocate

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

Under consideration is the Application No. C.A.(CAA)-44/ND/2021 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening and holding of the meeting of Shareholders and Creditors in relation to the Transferor and Transferee Companies for approval of the 'Scheme of Amalgamation' (hereinafter termed as **"Scheme"**), which as per the averment, shall take effect from the Appointed Date of 01.04.2021.

2. That M/s Juniper Green India Private Limited (hereinafter referred as the **"Transferor Company No.1")** having CIN no. U40106DL2010 PTC275464 is a Private Limited company incorporated under the Erstwhile Companies Act, 1956 on 01.10.2010. The registered office of the Transferor Company No.1 is situated at F-9, 1st Floor, Manish Plaza, Plot No. 7, MLU, Sector-10, Dwarka, New Delhi-110075.

3. That M/s Juniper Green Energy Private Limited (hereinafter referred as the **"Transferee Company No. 2"**) having CIN no. U40100DL2011 PTC228318 is a Private Limited company incorporated under the Erstwhile Companies Act, 1956 on 05.12.2011. The registered office of the Transferee Company No.2 is situated at F-9, 1st Floor, Manish Plaza, Plot No. 7, MLU, Sector 10, Dwarka, New Delhi-110075.

4. That the present Petition has been jointly filed by both the Transferor and Transferee Companies. Both the 'Transferor' and 'Transferee' Companies together are called **'Applicant Companies'** hereinafter. That the Registered offices of both the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is averred by the Applicant Companies that the Transferor Company is a wholly owned subsidiary of the Transferee Company.

6. It is seen from the record that the Board of Directors of both the Applicant Companies vide separate meetings held on 01.03.2021 have approved the proposed 'Scheme'.

7. It is stated by the Applicant Companies that the proposed Scheme of Amalgamation will result in the following advantages :

> *"i) The Amalgamation will result into consolidation of the business of the Transferor Company with the Transferee Company with greater integration and greater financial strength and flexibility for the amalgamated entity and will improve the competitive position of the combined entity.*
>
> *ii) The Amalgamation will result in better, efficient and economical management, cost savings, pooling of resources, reduction of corporate tiers, creating better synergy, optimum utilization of resources, rationalization of administrative expenses/services, control and running of businesses and further development and growth of the business of both the Companies.*
>
> *iii) The Amalgamation will enable the Companies to pool their financial, commercial and other resources and considerable synergy of operations would be achieved from business and administrative point of view and conserve administrative resources and cost overheads…."*

8. That vide Order dated 11.06.2021, this Bench had directed the Applicant Companies to file their Affidavit in compliance of Section 230(2)(a) of Companies Act, 2013. That the Applicant Companies in response to the same have filed their combined Affidavit on 24.06.2021 stating that there is no investigation or any proceeding pending against the Transferor Company.

9. As regards the Transferee Company, they have filed the list of the pending Court/Tribunal proceedings, the scanned copy of which is reproduced overleaf :

JUNIPER Green Energy

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List of Pending Proceedings as on 22nd June 2021

Sr. No.	Case No. and Title	Pending before Court/ Tribunal	Status as on date i.e. 22/06/2021
1	Appeal No. 171 of 2020 Juniper Green Energy Private Limited V/s MERC & Others	Appellate Tribunal of Electricity (APTEL)	Juniper Green Energy Private Limited (JGEPL) filed an appeal before Appellate Tribunal for Electricity (APTEL/ Hon'ble Tribunal) against Maharashtra Electricity Regulatory Commission (MERC) order dt 23.07.2020 in Case no. 61 of 2020 for seeking approval and determination of quantum and mechanism of compensation along with interest, if any, on account of the Change in Law event on imposition of safeguard duty on the import of solar modules. This matter was listed on 18.03.2021 before APTEL. Hon'ble Tribunal was informed that pleadings completed in this matter. Hon'ble Tribunal also directed us to file certified copy of the Impugned Order i.e MERC Order dated 23/07/2020 and the same was filed as per direction. This matter is listed for hearing on 15th July,2021. Copy of daily status for next date of hearing of Hon'ble Tribunal is attached as **Annexure-1.**
2	RCS 118 0f 2019 (Suit for Partition) Mr Shankar Vitthal Munde V/s Mr Valhu Sayaji Bangar and Ors. Juniper Green Energy Private Limited is also party to this suit	Civil Judge's Court, Yeola (Nasik)	Mr Shankar Vitthal Munde, Plaintiff, filed a suit for partition of Gat no 530 and 537 (RCS 118 0f 2019) and a separate application praying for injunction under order 39 rule 1 of CPC for seeking temporary injunction against Mr Valhu Sayaji Bangar and family along with Juniper Green Energy Private Limited (JGEPL) in relation to Gat no 530 and 537. JGEPL has taken on lease aforesaid land parcel located at Gut No 530 from Mr. Valhu Sayaji Bangar. JGEPL had opposed the interim application for injunction and Hon'ble Civil Judge, Yeola (Nasik) was pleased to reject the interim application for injunction by the Plaintiff on 18th December 2019.

For Juniper Green Energy Private Limited

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			Plaintiff has claimed that he has an undivided share in Gut no 530 and 537. Partition suit is still pending before the Civil Judge's Court, Yeola, (Nasik) and has been listed for hearing on 1st July 2021. Copy of daily status for next date of hearing of Civil and Criminal Court, Yeola is attached as **Annexure-2.**
3	Misc Civil Appeal No 3 of 2020 Mr Shankar Vitthal Munde V/s Mr Walhu Sayaji Bangar and Ors. Juniper Green Energy Private Limited is also party to this suit	Jt. District Judge's Court, Niphad	Mr Shankar Vitthal Munde has filed this appeal (Misc civil appeal no 3 of 2020) before Jt. District Judge, Niphad against the order passed by Mr. N.N. Chintamani, Civil Judge, J.D. Yeola (Nasik) on 18th December 2019 as described in Sr. No. 2 above. Next date of hearing is 01.07.2021. Copy of daily status for next date of hearing of District Court-1, Niphad is attached as **Annexure-3.**

For and on behalf of
Juniper Green Energy Private Limited

For Juniper Green Energy Private Limited

Authorised Signatory

Mr. Prashant Pandia
(Authorised Signatory)

Place: Delhi
Date: 22.06.2021

10. That further vide Order dated 05.07.2021, this Bench has directed the Applicant Companies to file an Affidavit to bring on record the copy of the plaint, copy of the order passed by the lower court (which is under challenge before the Appellate Court in the Miscellaneous Appeal) and a short-written synopsis. That the Applicant Companies in compliance of the same have filed the Copy of plaint and has submitted the following on Affidavit:

"3. That in this regard, the Applicant No. 2 hereby submits and states that the said plaint has not been filed against it as the property is held by it on rent/ lease. The plaint was filed against the actual landlord by the Petitioner before the Ld. Civil Judge Court, Yeola (Nasik). It is further submitted that the said proceedings shall not, in any way, affect the present scheme of merger/amalgamation as the Applicant No. 2/ Transferee Company will continue to exist even after the scheme of merger/ amalgamation being effective. However, as directed, the copies of the plaint and copy of the order passed by the learned Civil Judge (which is under challenge before the Appellate Court in the Miscellaneous Appeal) are being filed and are annexed herewith and marked as ***Annexure A1.***

4. That as the lease hold rights are with the Transferee Company, there is no transfer of such rights in the Scheme and Transferee Company shall be competent to deal with all aspects and consequences of such litigation during the Scheme and thereafter..."

11. That the Applicant Companies have also placed on record the Certificate from the Statutory Auditors confirming that their Accounting Standards are in conformity with the provisions of Section 133 of the Companies Act, 2013.

12. That the Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have also filed their latest Balance Sheets as on 31.03.2020.

13. That the position regarding the Applicant Company-wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised below:

Company	No. of Share holders	Percentage of Shareholders given Consent	No. of Secured Creditors	Percentage of secured Creditors given Consent (in value)	No. of Unsecured Creditors	Percentage of Unsecured Creditors given Consent (in value)
Juniper Green India Private Limited. Applicant No.1 Company/ Transferor	2	100%	Nil	NA	Nil	Nil
Juniper Green Energy Private Limited Applicant No.2/ Transferee Company	2	100%	2	Not Obtained	26	Not Obtained

14. That it is submitted by the Applicant Companies that both the shareholders of the Applicant Companies have given 'no objection' to the Scheme on respective affidavits. Therefore, the requirement of convening the Meetings of Shareholders in respect of both the Applicant Companies may be dispensed with.

15. As regards the meeting of Secured and Unsecured Creditors of the Transferee Company, the Applicant Companies have sought dispensation of the meeting of both the Secured and Unsecured Creditors on the grounds mentioned in their averment as reproduced below :

> *"14. With respect to the meetings of the secured and unsecured creditors of the Transferee Company, it is submitted that the meetings of the secured and unsecured creditors of the Transferee Company are not required to be convened in view of settled principles of law. It is submitted that the interest of the shareholders and creditors of the Transferee Company will not be adversely affected pursuant to Scheme. It is submitted that pursuant to para 4.3 of the*

Scheme, no new shares are being issued by the Transferee Company as Transferor Company involved in the Scheme is wholly owned subsidiary of the Transferee Company. The existence of the Transferee Company remain as before without any change either to its shareholding pattern. No undertaking of Transferee Company is being parted away or being disposed off and hence provisions of Section 180 of the Companies Act, 2013 are also not applicable. As far as secured and unsecured creditors of the Transferee Company are concerned, it is submitted that as per para 3.02 of the Scheme, the present Scheme is only a Scheme between the Companies and their respective shareholders and is not a Scheme with the creditors and all creditors of the Transferee Company will be paid in full in normal course of business. It is further submitted that the Transferee Company has highly positive net worth and has assets far more than its liabilities. Post amalgamation, the net worth of the Transferee Company will be more than its pre-amalgamation net-worth and, therefore, the interest of creditors of the Transferee Company will not be adversely affected. A copy of the Net-Worth Certificate issued by M/s. Sandeep Ramniwas Gupta & Co., Chartered Accountants, indicating the pre-amalgamation and post-amalgamation Net Worth of the Transferee Company is annexed herewith and marked as ***Annexure-A-17****. Therefore, the secured and unsecured creditors will not be called upon to sacrifice their claims and the Scheme will not reduce or extinguish their claims in any manner, and the interest of the secured and unsecured creditors are adequately safeguarded and therefore, it is most respectfully submitted that it is not necessary that the meeting of the secured and unsecured creditors of the Transferee Company be convened. Therefore,*

it is submitted that this Hon'ble Tribunal be pleased to dispense with the requirements of holding of the meeting of the secured and unsecured creditors of the Transferee Company."

16. The Applicant Companies have filed their written submissions and placed reliance on the following paragraphs of the Judgment of Hon'ble NCLAT dated 19.08.2019 in the matter of **DLF Phase-IV Commercial Developers Limited and others, in the Company Appeal (AT) No. 180 of 2019:**

"5. After hearing learned counsel for Appellants we find that the Appellants DLF Phase IV Commercial Developers Ltd. (Transferor Company No. 1), DLF Real Estate Builders Ltd. (Transferor Company No. 2), DLF Residential Builders Ltd. (Transferor Company No.3) and DLF Utilities Ltd. (Demerged Company) are wholly owned subsidiaries of the Holding Company 'DLF Ltd.' (Transferee Company). The Appellant Companies proposed a scheme of arrangement interse them, under Section 230-232 of the Act and to achieve the said object filed first motion being CA NO. 39 before the Tribunal seeking directions for dispensation of the meetings of Shareholders, separate debenture holders, warrant holders, compulsorily convertible debenture (CCD) holders and Secured and Unsecured Creditors of the Appellant Companies. According to the case setup by Appellants, the proposed scheme would not result in any dilution in the shareholding of shareholders of Transferee Company, which has highly positive net worth. It appears that in regard to meetings of Unsecured Creditors of Appellant No. 4 (Demerged Company) and Shareholders, Secured and Unsecured Creditors of the Appellant No. 5 (Transferee Company) the Appellants submitted before the

Tribunal that in view of settled legal position and various judicial precedents such meetings were not required to be held. The Appellants prayed for dispensation of meetings of their respective Shareholders and Creditors of Appellants No. 1 to 5 as also in respect of warrant holders and CCD holders of Appellant No. 5. It was the further case of -7- Company Appeal (AT) No. 180 of 2019 the Appellants that Shareholders of Appellant No. 1 to 4 had given written consent by way of affidavits. Same was the case with regard to Unsecured Creditors of Appellants No. 1 to 3 and Secured Debenture Holders, Warrant Holders and CCD Holders of Appellant No. 5. There were no Secured Creditors in Appellant No. 1 to 4. The Tribunal dispensed with these meetings to the extent of aforesaid stakeholders. However, the Tribunal, in terms of the impugned order declined to dispense with the meetings of Shareholders, Secured and Unsecured Creditors by holding that the consent affidavits of Unsecured Creditors in respect of Appellant No. 4 and Equity Shareholders and Secured and Unsecured Creditors have not been obtained. The relevant portion of the impugned order reads as under:-

> *"40. In view of the above, this Bench is of the view that such dispensation either in case of shareholders and creditors whether secured or unsecured creditors is not permissible under the provisions of Companies Act, 2013, specifically if read with Section 230(9) of the Act, which speaks only about creditors. Peculiar facts of the case are that the consent affidavits of unsecured creditors in respect of Applicant No. 4 and of equity shareholders, secured as well as unsecured creditors are not obtained. Therefore, it is hereby held that even*

the scheme is in respect of subsidiaries but merely on this ground, dispensation of meetings of shareholders, secured and unsecured creditors -8- Company Appeal (AT) No. 180 of 2019 cannot be dispensed with. Also, it is stated in the prayer clause of the application that in the alternate, the Tribunal may issue directions to convene the meetings of unsecured creditors of Applicant No. 4 and equity shareholders, secured and unsecured creditors of Applicant No. 5 and issue directions with regard to appointment of Chairperson, Alternate Chairperson and Scrutinizer as well as issue directions for publication."

6. Learned counsel for the Appellants, while relying on the judgments of larger Benches and Coordinate Benches of the Tribunal stated to have been brought to the notice of the Tribunal vide additional affidavit dated 15th February, 2019 vide Diary No. 787/19 as also the law propounded by various Hon'ble High Courts, submitted that in similar circumstances meetings of Shareholders and Creditors were dispensed with. We have referred to some of these judgments and the legal position enunciated therein would warrant the conclusion that the impugned order is per incuriam. It is noticed elsewhere in this judgment that following of the judicial precedent and observing the judicial view propounded by a Coordinate Bench in compliance is a matter of judicial discipline and the only course open to a Coordinate Bench of equal strength taking a different view is to refer the matter to a larger Bench. This is the law of the land declared by the Hon'ble Apex Court and has to be observed and adhered to strictly. -9- Company Appeal (AT) No. 180 of 2019.

7. Indisputably, the proposed scheme of amalgamation between the Holding Company and its Subsidiaries is regulated by provisions of Chapter XV of the Act, Section 230 whereof provides for passing of an order by the Tribunal directing convening of a meeting of the creditors or class of creditors, members or class of members, as the case may be. Sub-section 9 thereof vests discretion in the Tribunal to dispense with calling of a meeting of such creditors or classes thereof where such creditors or class of creditors, having atleast 90% value, agree and confirm, by way of affidavit to the scheme of compromise or arrangement. Admittedly, in the instant case dispensation in regard to holding of meeting qua Shareholders of Appellant Nos. 1 to 4 was sought on the basis of their written consent obtained by way of affidavits. Same was the case as regards Unsecured Creditors of Appellant Nos. 1 to 3 as also the Secured Debenture Holders, Warrant Holders and CCD Holders of Appellant No.5. As regards these, the Tribunal exercised its discretion and dispensed with calling of their meeting. There were no Secured Creditors of Appellant No. 1 to 4. The Tribunal while exercising its discretion as noticed hereinabove declined the first motion to the extent it related to directions for convening of meetings of Unsecured Creditors of Appellant No. 4 and Equity Shareholders and Secured and Unsecured Creditors of Appellant No. 5. This is stated to have been done despite the settled legal position and view taken by the Coordinate Benches which were binding on the Tribunal. The first motion by the Appellants before the Tribunal sought dispensation in regard to calling of meeting of Members and Creditors, etc. This being the very threshold stage and not the Stage envisaged for consideration of the scheme for

amalgamation -10- Company Appeal (AT) No. 180 of 2019 by the Tribunal on merit, the Tribunal was required to exercise its discretion in accordance with the legal precedents and views adopted by the Coordinate Benches or Larger Benches. At least one case has been referred to and relied upon by learned counsel for Appellants where, on account of difference of opinion, between the Members of Division Bench of the Tribunal reference was made to the third Member and the case was decided as per majority view which, inter alia dispensed with the requirement of convening of meeting of members and creditors taking into account the considerations that there shall be positive net worth and creditors will not be compromised.

8. Keeping in view the foregoing and all relevant considerations as also the settled law on the subject, the impugned order falling within the purview of per incuriam cannot be supported. The Tribunal should have applied its mind in the light of judicial precedents brought to its notice by way of an affidavit, and in the event of the views expressed by the Coordinate or Larger Benches being squarely applicable, followed the same. Such application of mind being abysmally absent, the impugned order is unsustainable and has to be set aside to the extent it relates to directions for convening of the meetings of Unsecured Creditors of Appellant No. 4 and the meetings of the Equity Shareholders, Secured and Unsecured Creditors of Appellant No.5.

9. The appeal is allowed and the impugned order is set aside to the extent indicated hereinabove and directions passed there under. The matter is remanded to the Tribunal for fresh consideration of the first joint motion -11- Company Appeal (AT) No. 180 of 2019 application preferred by the

Applicants/Appellants having regard to the settled position of law and the views and precedents of Coordinate or Larger Benches of the Tribunal. Any observations made in this order shall not be construed as an expression of opinion on the merits of the case."

17. Additionally, the Applicant Companies have placed reliance on the following judgments passed by various High Courts/ Tribunals :

S.No	Particulars	Court/Tribunal	Relevant Para
1.	DLF Phase IV Commercial Developers Ltd. & Ors. (Company Appeal (AT) No.180 of 2019.	Hon'ble National Company Law Appellate Tribunal, New Delhi	Para 5 to 9
2.	Jupiter Alloys & Steel (India) Ltd. and Anr. (T.A. No.11/2017)	Three Member bench of Hon'ble NCLT, Kolkata.	Para 2, 3 and 4 of judgment of Hon'ble Member (J), Ms. Manorama Kumari.
3.	Mahindra Gears and Transmissions Private Limited & Ors. (CSA No.899 (MAH)/2017)	Hon'ble NCLT Mumbai Bench	Para 26 and 27.
4.	Berkeley Design Automation India Pvt. Ltd. & Ors. (Company Application No.29(PB) 2017	Hon'ble NCLT, New Delhi Bench	Para B)
5.	Godrej Real Estate Private Limited and Anr. (CSA No.1019/2017)	Hon'ble NCLT Mumbai Bench	Para 18, 19 and 20.

For JUNIPER GREEN INDIA PRIVATE LIMITED

For Juniper Green Energy Private Limited

6.	Tech Mahindra Limited (CSA No.1081/2017)	Hon'ble NCLT Mumbai Bench	Para 6 and 7.
7.	Equator Trading Enterprises Pvt. Ltd. & Ors. (CSA No.132 of 2018)	Hon'ble NCLT Mumbai Bench	Para 24, 25 and 26.
8.	Digital 18 Media Limited & Ors. (CSA No.123/2018)	Hon'ble NCLT Mumbai Bench	Para 38 and 39.
9.	Mahaamba Investments Ltd.	Hon'ble High Court of Bombay	Para 4 and 5.
10	In Re: ICICI Bank Limited	Hon'ble High Court of Bombay	Para 15 and 16.
11	DLF Retail Developers Ltd. & Ors.	Hon'ble High Court for the States of Punjab and Haryana.	Para 15.
12	Aditya Birla Money Mart Limited & Ors.	Hon'ble High Court of Gujarat.	Para 5(c).
13	Auto Tools India Pvt. Ltd. & Anr.	Hon'ble High Court of Delhi.	Para 4, 5, 6 and 7.

18. Furthermore, the Applicant Companies have stated that the Transferee Company has highly positive net worth and its assets are far more than its liabilities. Post amalgamation, the net worth of the Transferee Company will be more than its pre-amalgamation net-worth and, therefore, the interest of the creditors of the Transferee Company will not be adversely affected. To support its contention, the Transferee Company has annexed a copy of the Net-Worth Certificate issued by M/s. Sandeep Ramniwas Gupta & Co., Chartered Accountants, indicating the pre-amalgamation and post-amalgamation Net Worth of the Transferee Company. The scanned copy of the said certificate is reproduced overleaf:

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ANNEXURE - A17

SANDEEP RAMNIWAS GUPTA & CO.
Chartered Accountants
III- N/20, First Floor, Ambedkar Road,
GHAZIABAD-201 001
PHONE:011-40214979
MOBILE:7289925490
E.Mail: caharvendra@gmail.com

TO WHOMSOEVER IT MAY CONCERN

We have examined the records, books and documents of JUNIPER GREEN ENERGY PRIVATE LIMITED ("Transferee Company") and Juniper Green India Private Limited ("Transferor Company") Companies incorporated under the Companies Act 1956 and having their registered office at F-9, First Floor, Manish Plaza 1, Plot No. 7, MLU, Sector-10, Dwarka, New Delhi – 110075. Based on review of such records, books and documents, we hereby certify that Net worth (based on unaudited management projected financials as on March 31, 2021) of Transferee Company and Transferor Company on a standalone basis i.e. before giving the effect to the scheme of amalgamation and Net worth of Transferee Company post effect to the scheme of amalgamation is as follows :

Particulars	Pre amalgamation (amount in Rs. Lakhs)		Post amalgamation (amount in Rs. Lakhs)
	Transferee Company	Transferor Company	
Paid-up share capital	565.30	11.27	565.30
Add: Reserves & Surplus			
Securities premium account	28,534.74	210.79	28,534.74
Profit & Loss Account (Including debit or credit balance of profit and loss account and adjustment of accumulated losses)	1,857.64	15.28	1,872.92
Less: deferred expenditure and miscellaneous expenditure not written off	-	-	-
Less: reserves created out of revaluation of assets, write-back of depreciation and amalgamation	-	-	-
Net worth of the company	**30,957.68**	**237.34**	**30,972.96**

Above net worth is computed as on March 31, 2021 based on unaudited management projected financials on that date by aggregating the paid-up share capital and all reserves created out of the profits, securities premium account and debit or credit balance of profit and loss account, and after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, and after excluding reserves created out of revaluation of assets, write-back of depreciation and amalgamation.

For Sandeep Ramniwas Gupta & Co.
Chartered Accountants
FRN: 006406C

Harvinder

Sandeep Ramniwas Gupta & Co. Partner M.No. 525148 Chartered Accountants

Harvinder Singh
Partner
M. No. 525148

Place: New Delhi
Date: March 19, 2021

19. After hearing submissions and perusing documents placed on record by the Applicant Companies with respect to the dispensation of the meeting of the unsecured and Secured creditors of the Transferee Company, this Bench of the view that the proposed Scheme of Amalgamation is taking place between the holding company and its wholly owned subsidiary company. Further by placing the Certificate of projected

net worth by a Chartered Accountant, the Applicant Companies have indicated that net worth of the Transferee Company is Rs.30,957.68 lakhs which shall further increase post-amalgamation. The Transferee Company has undertaken to pay its debt of unsecured and secured creditors in full.

20. Further, since the entity of the Transferee Company shall still be in existence, the right of the creditors to recover their dues shall not get extinguished. There are no creditors in the Transferor Company and hence, the question of transferring of their debt/liability to the Transferee Company does not arise. Therefore, taking into consideration that :

- there shall be positive net worth and interest of the creditors will not be compromised,
- the Transferee Company is going to be in existence post-amalgamation, and
- in the light of the Judgment of the Hon'ble NCLAT dated 19.08.2019 in the matter of **DLF Phase-IV Commercial Developers Limited and others, in the Company Appeal (AT) No. 180 of 2019;**

we are inclined to allow the prayer of the Applicant Companies regarding dispensation of the meeting of the Secured and Unsecured Creditors of the Transferee Company. **Accordingly, we hereby dispense with the requirement of convening meeting of the Secured and the Unsecured Creditors of the Transferee Company.**

21. **However, the Transferee Company is directed to send copy of the 'Scheme' individually to each of the Secured and Unsecured creditors. If, any of the Creditor of the Transferee Company is having any objection s/he shall be at liberty to file its objection before this Tribunal.**

22. Since there are no secured and unsecured creditors in the Transferor Company. Therefore, the requirement of dispensing their meeting does not arise.

23. That all the shareholders of the Applicant Companies have given their no objection to the 'Scheme' on Affidavit. Therefore, their meeting is dispensed with.

24. **The Application is Allowed in the aforesaid terms.**

Sd/-
(L.N. Gupta)
Member (T)

Sd/-
(Abni Ranjan Kumar Sinha)
Member (J)